

Upward Breakouts

	Bull Market	Bear Market
Reversal or continuation	Long-term bullish continuation	Intermediate-term bullish continuation
Performance rank	7 out of 39	1 (best) out of 20
Breakeven failure rate	4%	6%
Average rise	48%	37%
Volume trend	Downward	Downward
Throwbacks	64%	67%
Percentage meeting price target	65%	51%
Synonym	Rounding turns, saucers	
See also	Bump-and-run reversal bottoms; cup-with-handle; head-and-shoulders bottoms, complex; scallops (ascending and descending)	

Rounding bottoms, rounding turns, and saucers are synonyms for the same chart pattern. Rounding bottoms have a large average rise, so they perform very well. The performance rank of 1 and 7, where 1 is best, emphasizes the point. In bear markets, rounding bottoms are the best performing chart pattern.

That finding surprised me, so I added a bunch more chart patterns, and the results hardly budged. So, yes, rounding bottoms blow the doors off your Datsun (remember those?).

The rank for failure rates (not shown in the Results Snapshot) put both bull and bear markets in first and second place (respectively, with fewest failures) compared to all other chart patterns.

Because the pattern can be tall—like a bowl with high sides instead of a shallow saucer—the measure rule price target (“Percentage meeting price target” in the Results Snapshot) may be hard to reach. Just over half to two-thirds of the rounding bottoms hit their targets.